focused on boosting domestic manufacturing, including in critical and emerging technologies, while ensuring economic security and sustainable development. This will essentially require an industrial policy as a basis to address India's development challenges rather than simple liberalization. Instead of a rejection of globalization, a new Indian approach to the international economy should be seen as a part of globalization's great rebalance.

Priority 1. Improve Military Preparedness

India has the largest active-duty military in the world. In addition, it has sizeable reserves, large and numerous paramilitary forces under the home ministry, police forces, multiple intelligence agencies, and entities responsible for border management, coastal security, and cyber security. Together, these comprise its national security apparatus. [4] This large and varied defence and security infrastructure is necessary given India's numerous and diverse security challenges, which have ranged from terrorism and insurgencies to international peacekeeping and conventional conflict against other states. India's spending on defence has not been unusually high in recent years, remaining between 2.4 and 3 per cent of its gross domestic product since 1990. [5]

India has dealt with these diverse challenges, with some success but not without its fair share of difficulties. Domestic conflicts, including insurgencies, have seen a steady decline in recent years, including in Jammu and Kashmir, in North-East India, and against Naxalites in central India. Terrorist incidents have also fallen, at least against civilian populations in urban areas by cross-border terrorists. Most recent cross-border terrorist attacks—such as at Gurdaspur, Udhampur, Uri and Pulwama—have been against military, paramilitary, or police targets. A few high-profile incidents in recent years have served as periodic reminders of the resilience of domestic security threats. But the broader trends concerning domestic security remain mostly positive. [6]